

Request for Exception to Fair Opportunity Memo

DEPARTMENT OF VETERANS AFFAIRS

Justification and Approval

For

Exception to Fair Opportunity Memo

Acquisition Plan Action ID: 36C262-25-AP-5132

1. **Contracting Activity:** Department of Veterans Affairs, VISN 22, Network Contracting Office 22 (NCO 22) in Long Beach, CA, seeks to procure storage for previously awarded furniture IDIQ contract listed in purchase request 605-25-3-6575-0336 at/for the VA Loma Linda Healthcare System.
2. **Description of Action:** This action is to justify and approve the award of an out-of-scope modification to add storage fee. The modification is out-of-scope because the required storage was not part of the solicitation but deemed necessary after award. The proposed task order modification (36C26224N1057 P0002) against VHA furniture IDIQ contract 36C10G18D0028 is for a firm-fixed price (FFP) effort for storage of furniture procured for VA Loma Linda HCS's Canteen Renovation Furniture requirement.
3. **Description of Supplies or Services:** Due to construction delays and mistake by facility Point of Contact who mistakenly signed off on fabrication of furniture before construction was completed for furniture to be installed, need for storage costs by vendor to hold until furniture is ready to ship and be installed when VA facility construction has been completed. Cost of storage, SLA Fee, and additional delivery cost is \$8,435.24.
4. **Statutory Authority:** The statutory authority permitting an exception to fair opportunity is Section 41 U.S.C. 4106(c) as implemented by the Federal Acquisition Regulation (FAR) 16.505(b)(2)(i):
 - () FAR 16.505(b)(2)(i)(A): The agency need for the supplies or services is so urgent that providing a fair opportunity would result in unacceptable delays.
 - (X) FAR 16.505(b)(2)(i)(B): Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized.
 - () FAR 16.505(b)(2)(i)(C): The order must be issued on a sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract, provided that all awardees were given a fair opportunity to be considered for the original order.
 - () FAR 16.505(b)(2)(i)(D): It is necessary to place an order to satisfy a minimum guarantee.
 - () FAR 16.505(b)(2)(i)(E): For orders exceeding the simplified acquisition threshold, a statute expressly authorizes or requires that the purchase be made from a specified source". The statutory

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authority permitting an exception to fair opportunity for this action is 38 U.S.C. 8127(c), known as the Veterans First Contracting Program which provides the authority to directly contract with a Service-Disabled Veteran-Owned Small Business (SDVOSB) or a Veteran-Owned Small Business (VOSB).

5. **Rationale Supporting Use of Authority Cited Above:** As only this vendor can provide storage and they own the equipment and it is not best value to have a third party to relocate the current order, transport, then store, and then transport, and ultimately deliver to Agency. So only one vendor is available to fulfill this need at the quality desired (minimum amount of handling) because the circumstances surrounding this delivery are unique.
6. **Efforts to Obtain Competition:** Market research was conducted, details of which are in the market research section of this document. This effort did not yield any additional sources that can meet the Government's requirements. There is no competition anticipated for this acquisition.
7. **Actions to Increase Competition:** The Government will continue to conduct market research to ascertain if there are changes in the marketplace that would enable future actions to be competed.
8. **Market Research:** Storage to an entity besides the contracted vendor will incur undue additional costs, as transportation fees to a new storage facility will be incurred, in addition to higher prices, as the contracted vendor is providing discounted prices given that it is contracted for the furniture being stored.
9. **Other Facts:** *n/a*
10. **Technical and Requirements Certification:** I certify that the supporting data under my cognizance, which are included in this justification, are accurate and complete to the best of my knowledge and belief.

Kim, Dyne
Contract Specialist
NCO 22

Date

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11. Determination that Anticipated Cost is Fair and Reasonable: Based on comparison of proposed price with prices from previous awards for similar requirement, the price of \$8,435.24 for the storage of healthcare furniture is less than the price of \$9,950.00 for Storage fee for exam tables, contract # 36C25624P0173, dated 11/03/2023, awarded to Mercy Medical equipment Company. Based on this, the CO determines that the anticipated cost to the Government will be fair and reasonable.

Contracting Officer's Certification (required): I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

Alvizar, Edgar
Contracting Officer
NCO 22

Date